

more as an experiment by central banks. Given the existing systems such as RTGS and UPI [here], it is difficult for a new concept to gain traction,” says Madan Sabnavis, Chief Economist at Bank of Baroda. “The convenience and widespread adoption of UPI makes it difficult for the digital rupee to offer additional benefits to retail customers,” he adds.

Another problem is the lack of convenience. The retail digital rupee supports only specific denominations; this limitation restricts users to making payments in the nearest available denomination.

Banks have also contributed to the sluggish adoption of the digital rupee. Experts point out that banks have not been promoting CBDC as actively as they should have done. The limited enthusiasm and support from financial institutions can impede the growth and acceptance.

UPI's success can be largely attributed to significant marketing efforts and incentives like cashbacks, says Vijay Mani, Partner-Banking and Capital Markets Leader at Deloitte India. “This level of promotion may be hard to replicate for CBDC, as banks might be reluctant to spend heavily on marketing,” he adds.

Privacy concerns further complicate the adoption of the digital rupee. Unlike traditional cash transactions, digital currencies generate a comprehensive record of transactions that can be easily monitored and analysed. Ruchin Kumar, VP-South Asia at enterprise data security solutions provider Futurex, emphasises that this raises concerns about the handling and protection of personal financial data. “The ability to track transactions could lead to intrusive surveillance or misuse of sensitive information if not

PAY ATTENTION



SLOW ADOPTION

The value of the digital rupee in wholesale and retail stood at ₹0.08 crore and ₹234.04 crore, respectively, as of March 31, 2024



UPI COMPETITION

Widespread UPI usage and other methods of digital payments like NEFT and RTGS hinder CBDC adoption



DENOMINATION LIMITS

Fixed denominations and traceability of digital rupee restrict precise payments compared to digital accounts



CROSS-BORDER PAYMENTS

CBDC can be used for cross-border payments, helping SMEs become export-efficient



FUTURE POTENTIAL

The digital rupee's success depends on programmability and expanding use cases

managed properly. Ensuring robust privacy protection while maintaining transparency and preventing illicit activities is a critical challenge for central banks,” says Kumar.

FUTURE PROSPECTS

The future success of the digital rupee depends on several factors, including its programmability and specific use cases. At a recent event, RBI Governor Shaktikanta Das spoke about programming the end use of funds such as for agricultural inputs, which could verify the identity of beneficiaries. Deloitte India's Mani says, first, use cases that make digital payments truly native to online commerce need to be identified. “Second, develop compelling offline use cases, such as enabling transactions without internet connectivity. Third, leverage programmability in the public sector to ensure faster money delivery and control over spending, [thereby] preventing misuse,” says Mani. These features could secure a future for digital currency, though its full potential remains uncertain at this stage, he adds.

Offline functionality is critical to the digital rupee's success. In order to ensure usability in areas with limited or no internet connectivity, RBI is planning to conduct tests on various offline solutions in different environments, such as rural and hilly regions. It intends to gradually introduce these offline features through pilot programmes.

In addition, RBI seems to be prioritising the expansion of digital rupee pilots by incorporating a range of use cases, exploring new designs, and involving more participants, as per its latest annual report. “RBI seems focussed on increasing use cases and design to expand the scope of ongoing pilots in e₹-R and e₹-W in 2024-25 by incorporating various use cases as well as new designs,